Does Canada have the lowest debt in the G7?

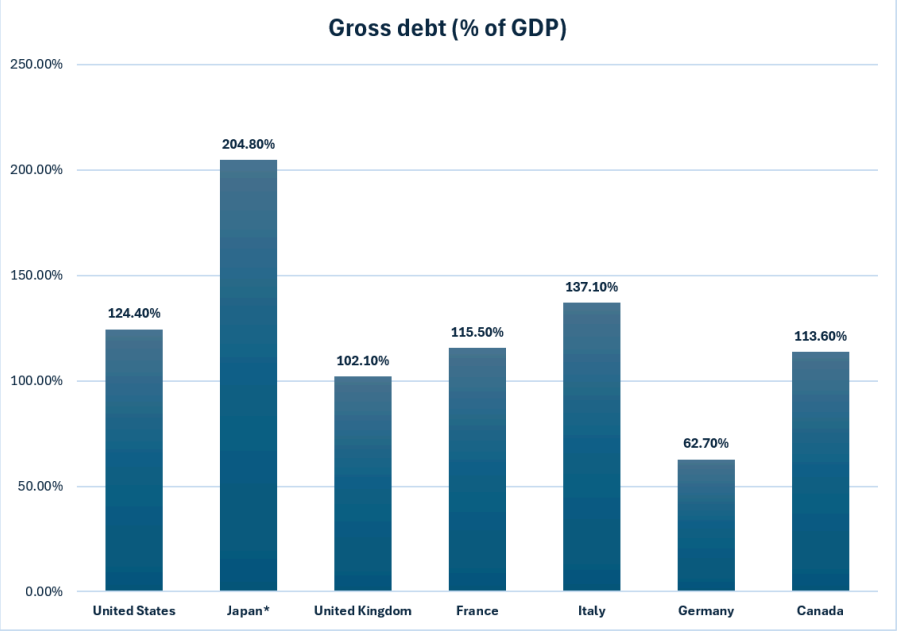
By Carl Costa, November 2026

In economics and finance, gross debt and net debt are two different metrics used to measure the total financial liabilities of an entity, whether it is a corporation, a household or a government in our case. The core difference lies in the existence of financial assets to back that debt.

Gross debt is the total nominal value of all financial liabilities owed by all levels of government, which are: federal, provincial and local. It includes debt securities (bonds and treasury bills), loans, pension obligations to public-sector employees and other amounts payable. It represents the total scale of public obligations that must be paid back with interest. The debt ceilings and statutory limits such as the EU "Maastricht Treaty" or US national debt cap are based on gross debt figures and therefore remain essential to governments. On the other hand, the gross debt ignores all assets held by the state, such as cash or gold reserves, wealth funds or even student loans, thus it does not deduct their value from its obligations.

The net debt adjusts gross debt by subtracting the government's financial assets, thus reflecting the remaining uncovered burden on public finances. The assets it takes into account are various, it ranges from the foreign exchange reserves held by the government, to treasury cash balances while also taking into account sovereign wealth funds holdings (e.g., Norway's Government Pension Fund Global or Singapore's GIC), social security reserve funds, and easily tradeable equity or bond investments. Net debt is often considered a better measure of a government's solvency, but only if those assets are truly available to repay the debt. For example, a country with high gross debt may have a much lower net debt thanks to its financial assets, allowing it to keep borrowing at advantageous rates to sustain its economy by reassuring creditors.

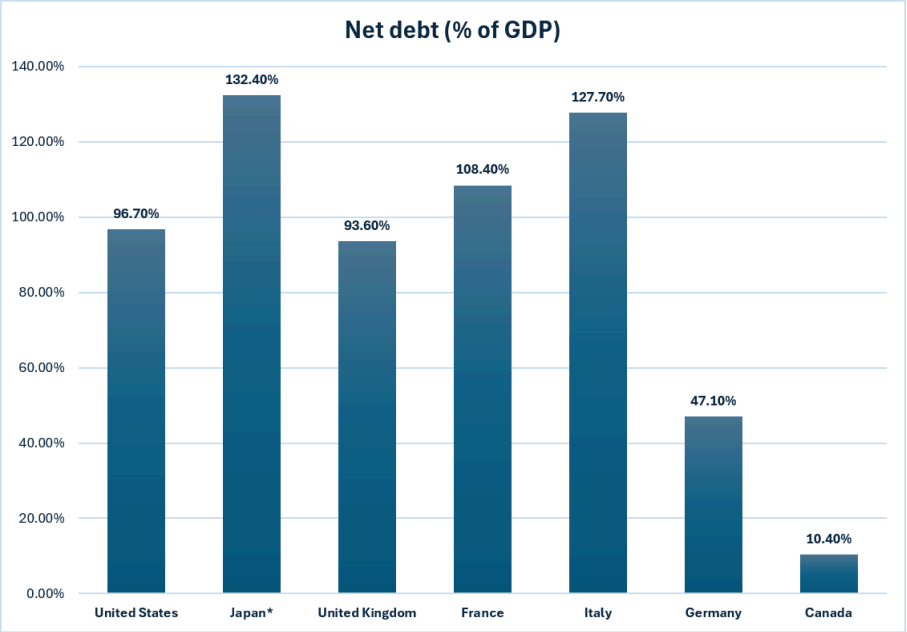
Chart 1: General Government Gross Debt Across G7 Nations, 2025 (% of GDP)



Source: *International Monetary Fund, World Economic Outlook database, October 2026.*

On the gross debt side, Canada does not stand out. Its debt-to-GDP ratio was 113.6% in 2025, which ranks third-lowest in the G7, behind Germany (62.7%) and the United Kingdom (102.1%), but just below France (115.5%). In addition, Canada's ratio sits below the G7 average of 123.1%, pulled upward by the United States (124.4%) and Japan (204.8%). What stands out is the pace at which Canada's debt rose: its ratio was only 90.1% in 2019, an increase of 23.5 percentage points, the largest in the G7 over that period. By this benchmark, the claim that Canada has the lowest debt in this group does not hold.

Chart 2: General Government Net Debt Across G7 Nations, 2025 (% of GDP)



Source: *International Monetary Fund, World Economic Outlook database, October 2026.*

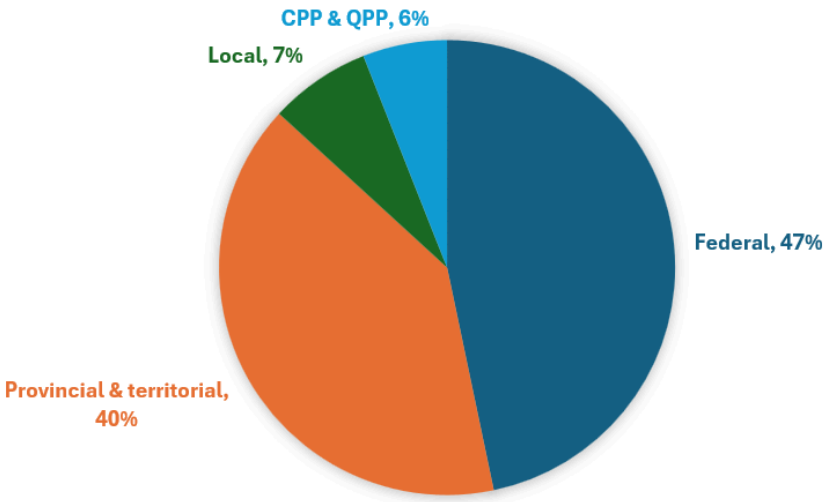
The net debt data tells a very different story and shows how low Canada's net debt-to-GDP ratio is. At only 10.4%, it is the lowest in the G7, 36.7 percentage points below Germany, the next lowest, and far below the G7 average of 93.1%. The gap between Canada's gross and net debt represents about US$2.4 trillion in financial assets, more than the size of its entire economy. This is the figure behind the claim that Canada has the lowest debt in the G7. The question, explored in the next section, is whether those assets can really be counted against the debt.

What Does Canada Owe, and to Whom?

Before looking at what Canada owns, it is worth understanding what it owes: which level of government borrows, in what form, and from whom.

Canada is one of the most decentralized federations in the world. Under the Constitution Act of 1867, the provinces are responsible for major areas of public spending such as health care, education and social services, which means that a large share of public borrowing takes place below the federal level. The OECD finds that the federal government accounts for only 49% of Canada's total government debt, the lowest share among the 24 OECD countries it examined (OECD, 2026, p. 20).

Chart 3: Canada's government debt by level of government, 2025 (% of total gross debt)



Source: Statistics Canada, Table 10-10-0015-01 (released 2026-09-25); author's calculations

Ottawa owes less than half of Canada's public debt: at the end of 2025, the federal government accounted for 46.7% of total gross debt, compared with 40.1% for the provinces and territories, 7.2% for local governments and 6.0% for the CPP and QPP. This was not always the case: in 2019, the provinces owed more than Ottawa: C$1.32 trillion versus C$1.12 trillion. By 2025, the federal gross debt had jumped by 69% to C$1.90 trillion while the total provincial one rose by only 23% to C$1.63 trillion. This is partly due to the COVID-19 pandemic, which led Ottawa to fund emergency programs such as the Canada Emergency Wage Subsidy and the Canada Emergency Response Benefit (CERB).

Most of Canada's public debt is market debt. At the end of 2025, bonds and treasury bills accounted for about 70% of total gross debt, a share that reaches 79% for the federal government and 73% for the provinces. The balance consists primarily of other accounts payable, such as unpaid bills and amounts owed to suppliers (15%), pension obligations to public-sector employees (8%) and loans (6%) (Statistics Canada, 2026; author's calculations). This structure matters because bonds have to be refinanced at market rates when they mature, so higher interest rates gradually raise the cost of the debt. The OECD states that rising interest payments have become a growing driver of public debt ratios across its member countries (OECD, 2026, p. 32).

About one-third of Canada's government debt is held abroad. By the end of 2025, all levels of government had around C$2.65 trillion in bonds and federal treasury bills outstanding, of which C$864 billion, or 33%, was held by foreign investors (Lovely, 2026; author's calculations). Foreign ownership is highest for federal bonds (40%), lower for provincial bonds (26%) and lowest for local government bonds (14%) (Lovely, 2026).

Almost all of this debt is effectively in Canadian dollars. At the federal level, only C$29.6 billion, about 2% of its market debt, is owed in foreign currencies and is used exclusively to fund Canada's foreign exchange reserves (Department of Finance Canada, 2025a). On the other hand, provinces borrow abroad more often to reach more investors: Ontario raised 41% of its 2025–26 long-term borrowing in foreign currencies, and Quebec 47% (Ontario Ministry of Finance, 2026; Ministère des Finances du Québec, 2026). Both, however, convert these amounts back into Canadian dollars through hedging contracts, so they carry no exchange-rate risk.

Borrowing in its own currency gives Canada important advantages:

1. A fall in the CAD does not increase the value of the debt, unlike countries that borrow in USD and see their debt grow as their currency weakens (e.g., Mexico in 1982).

2. As the Bank of Canada issues the currency Ottawa borrows in, the federal government cannot default due to the lack of Canadian dollars. The real limit is inflation.

3. Inflation reduces the real value of the debt issued in CAD. Indeed, the OECD states that since 2021, inflation has lowered debt-to-GDP ratios across member countries more than higher interest payments have raised them (OECD, 2026, p. 32).

This advantage is not shared by the whole G7: France, Germany and Italy borrow in euros, a currency managed by the European Central Bank rather than by any single government. All these advantages have limits. Provinces cannot issue currency; as a result, their Canadian-dollar debt works much like euro debt does for Italy, and investors judge each province on its own finances. Furthermore, with 40% of federal bonds held abroad, a shift in foreign investor confidence could raise Canada's borrowing costs and weaken its currency. Finally, hedging foreign borrowing is not free, and it relies on banks honouring their contracts.

What's behind the US$2.4 trillion?

The reason why Canada's debt is low is not because the country owes less but because it owns a lot: its governments hold about US$2.4 trillion in financial assets, more than the country's entire annual economic output.

Canada does not hold any gold reserves, unlike the other G7 members, which together hold 17,529 metric tonnes of gold worth around US$2.254 trillion. Indeed, the government took a policy decision in the early 1980s to divest its gold holdings in order to improve the liquidity of its reserves and sold the last of its reserves in 2016 (Department of Finance Canada, 2016a). The aim was to make the reserves easy to sell quickly in a crisis (Department of Finance Canada, 2016b, p. 11).

That same report indicates that the money raised was used to buy high-quality bonds inside the Exchange Fund Account, the federal account that holds Canada's foreign reserves (Department of Finance Canada, 2016b, p. 11). However, the gold money did not go into the CPP/QPP portfolio that makes the net debt low. In addition, Finance Canada has never published the total proceeds of the sales, but the final sales in 2015–16 involved gold worth only about US$114 million, far from the US$2.4 trillion in assets.

Statistics Canada values Canada's government financial assets at C$3.56 trillion at the end of 2025, or US$2.5 trillion. The IMF's figure of US$2.4 trillion relies on slightly older data. These assets are spread across every level of government. The provinces and territories hold the largest share (35%), followed by the Canada and Quebec Pension Plans (33%), then the federal government (25%) and finally the local governments (7%). Each level also holds different kinds of assets. The CPP and QPP are invested mainly in stocks and bonds, which have an advantage compared to gold as they pay dividends and interest. About a third of provincial assets are stocks and investment fund shares, which include stakes in provincial

Crown corporations and investment funds. More than 40% of federal assets are loans, such as student loans, and the federal total also includes the foreign exchange reserves discussed earlier (Statistics Canada, 2026; author's calculations).

By type, stocks and investment fund shares are the largest category, reaching 35% of all government financial assets. The CPP and QPP alone hold more than 60% of them. Meanwhile, loans make up 20%, bonds 18%, and amounts owed to governments but not yet paid, such as taxes receivable, 14%. Pension-related assets account for 7%, while cash and deposits account for just 6% (Statistics Canada, 2026; author's calculations).

These assets were accumulated in various ways. The largest pool held by the CPP and QPP comes from workers' and employers' contributions. Indeed, in 1997, CPP contribution rates were doubled to 9.9% of pay to create a reserve fund, and the Canada Pension Plan Investment Board, now CPP Investments, was created to invest it (Ambachtsheer, 2021). Since then, decades of investment returns have multiplied its value with an additional expansion that started in 2019. On the other hand, some provinces prefer to save dedicated revenues. Quebec's Generations Fund, for example, receives royalties on water-power paid by Hydro-Québec and private producers, in addition to C$650 million a year from Hydro-Québec's dividend. On March 31, 2026, the fund's balance stood at C$16.6 billion, money set aside to repay Quebec's debt (Gouvernement du Québec, 2026). Finally, other assets were bought with borrowed money, such as federal student loans and the foreign reserves, funded by US$100.6 billion of matching debt (Department of Finance Canada, 2025b). These raise gross debt and assets by similar amounts, so they do little to lower net debt. Lastly, part of the growth reflects rising market prices: in Q2 2026, the value of governments' stock holdings rose by C$117 billion, while they bought only about C$8 billion of new stocks (Statistics Canada, 2026; author's calculations).

Could those assets really pay the debt?

The composition of government financial assets discussed above helps us understand how much the acquired assets can offset the debt. However, only a small share (6%) is in cash and could thus be used immediately. A large part is made out of stocks whose value rises and falls with markets, or loans that are repaid slowly over many years. In addition, the CPP and QPP's value of C$1.18 trillion is legally set aside to pay future pensions. Canada's low net debt therefore rests on assets that are real, but not all equally available to repay what each level of government owes.

Let us now imagine a catastrophic scenario in which Canada's governments sell every financial asset they own to repay their debt. Even in the best case, the debt would not entirely disappear. At the end of 2025, Canada owed C$4.07 trillion but owned only C$3.56 trillion in assets, leaving C$511 billion of net debt, or about 15.7% of GDP (Statistics Canada, 2026). In practice, the gap would be much larger as dumping C$1.24 trillion of stocks on the market at once would push prices down. Another C$1.22 trillion, or about a third of all assets, consists of loans and taxes owed to governments. These can only be collected as borrowers repay and taxpayers pay, not sold overnight. Furthermore, the CPP's assets cannot simply be seized as changes to the plan require the agreement of Ottawa and at least two-thirds of the provinces representing the same proportion of Canada's population (Canada Pension Plan Act, s. 114).

Even if all of this were ever possible, selling the pension assets would not truly reduce what Canada owes as it would simply move the obligation elsewhere. The CPP and QPP still have to pay pensions to millions of future retirees. Without their C$1.18 trillion in assets, those pensions would have to be funded by much higher contributions or taxes. This would shift Canada towards a pay-as-you-go model, like most other G7 countries, where today's workers pay for today's retirees. The country would simply trade the debt that appears on the balance sheet for pension promises that do not. The sale would also have various side effects: converting large foreign holdings back into Canadian dollars could push the currency to sharply appreciate and hurt exporters. Finally, selling the foreign reserves would leave the government completely unable to defend its currency in another crisis. Thus, Canada's assets make its finances more resilient although they do not represent available cash to repay the country's debt.

The cost of carrying the debt

Between early 2022 and mid 2023, the Bank of Canada raised its policy rate from 0.25% to 5% to fight inflation, which quickly raised the cost of carrying the debt. Across all levels of government, interest payments climbed from C$67.9 billion in 2021 to C$110 billion in 2025, an increase of 62%. Over the same period, interest rose from 6.3% to 8% of government revenue and from 2.7% to 3.4% of GDP (Statistics Canada, 2026; IMF, 2026; author's calculations). The federal government was hit hardest: its interest bill more than doubled, from C$24.1 billion to C$51.0 billion, and now makes up about 10% of its revenue, compared to 5.9% in 2021. On the other hand, provincial interest rose by a modest 38%, to C$54.3 billion. And the increase is not over: Finance Canada projects that federal public debt charges will reach C$58.7 billion in 2026-27, rising from 1.7% to 2.1% of GDP by 2030-31 (Department of Finance Canada, 2026).

Counting what government assets earn changes the picture, as it did for debt. Data from the IMF imply that in 2025, Canadian governments received slightly more in interest as well as investment income than they paid in interest. Indeed, their net interest cost was −0.2% of GDP, the only negative figure in the G7. By comparison, net interest cost 0.2% of GDP in Japan, 0.9% in Germany, 2.1% in France, 2.6% in the UK, 3.2% in the US and 3.6% in Italy (IMF, 2026). Canada's net interest cost stayed close to zero throughout the rate hikes, as higher rates also raised the income earned on government assets. The same catch as for net debt applies: a large part of that income is earned by the CPP and QPP and is reserved for future pensions. It cannot cover the federal government's C$51 billion interest payment, which is ultimately paid from taxes.

How fast higher rates raise these costs depends on how soon the debt has to be refinanced. At March 31, 2025, federal market debt had an average term to maturity of 6.5 years, shorter than the OECD average of 8 years and far shorter than the United Kingdom's 13.5 years (Department of Finance Canada, 2025a; OECD, 2026, p. 31). About 61% of federal market debt matures within five years, and treasury bills, which are repaid within a year, made up 20.1% of it (C$285.2 billion). In 2024-25 alone, Ottawa had to refinance C$441 billion of maturing debt (Department of Finance Canada, 2025a; author's calculations). This short lifespan of the debt means higher rates reach the budget relatively quickly, and the process is still under way. Many bonds that were issued at very low rates during the 2020 pandemic will mature over the coming years and be replaced at today's higher rates, which helps us understand why debt costs are projected to keep rising. Canada has, however, moved against

the OECD trend, as it is one of only two regular issuers to have reduced the share of treasury bills in its borrowing compared with pre-pandemic levels (OECD, 2026, p. 23).

Could Canada ever look like Norway?

Norway is a striking example of what a country can achieve by saving its resource wealth rather than spending it. Since 1996, it has placed its oil and gas revenue in the Government Pension Fund Global, worth about US$2.4 trillion at the end of June 2026, about 3.6 times the country's annual GDP (Norges Bank Investment Management, 2026; IMF, 2026; author's calculations). As a result, Norway's government owns far more than it owes: in 2025, the IMF puts its net debt at -160% of its GDP, against +10.4% for Canada. That same year, Norway ran a budget surplus of 10.6% of its GDP, while Canada ran a deficit of 1.7% (IMF, 2026).

What would it take for Canada to reach Norway's level? Assuming its assets earn a constant 5% a year and its economy keeps growing 4% a year, Canada would need an annual surplus of about 6% of GDP for 25 years, or about 3.6% for 40 years (author's calculations). In addition, starting with a deficit means improving the budget balance by 5 to 8 percentage points of GDP and holding it there, which is far beyond any current or predicted fiscal plan.

Alberta is a natural comparison to Norway, as it had the same opportunity. Its Heritage Savings Trust Fund was created in 1976 to set aside part of the province's non-renewable resource revenue. Yet at March 31, 2026, it was worth only around C$32 billion, roughly one-hundredth of Norway's fund for a similar population (Government of Alberta, 2026; author's calculations). The difference reflects choices, not geology: for much of its history, Alberta's resource revenue went into the provincial budget rather than the fund. Furthermore, the fund's own investment income was also spent, and has only been kept in the fund since 2022–23. Alberta now aims to grow it to C$250 billion by 2050 (Government of Alberta, 2026). The main lesson is that a Norwegian-style position takes decades of discipline: saving windfalls, reinvesting the returns and resisting the temptation to spend them. Canada's current low net debt comes from a different kind of saving, through the CPP and QPP, not from a sovereign wealth fund.

What's ahead for Canada

Looking ahead, the IMF expects Canada's position to remain broadly stable: budget deficits of about 2% to 2.5% of GDP should narrow over time, gross debt should peak at 115.6% of GDP in 2026 before easing to 107% by 2031, and net debt should stay around 10% (IMF, 2026). Yet the margin for error is thin. The Parliamentary Budget Officer found that federal policy in Budget 2025 was sustainable in the long run, but with only 0.1% of GDP (C$4.2 billion) of room to spare, down from more than C$40 billion under earlier plans (Parliamentary Budget Officer, 2025). Several pressures could quickly use up that room. The PBO estimates that meeting NATO's 5% target would add C$63 billion to the deficit by 2035 (National Newswatch, 2026). In addition, the aging population will raise health and pension costs as population growth slows to its weakest pace since the 1940s (Global News, 2026). The July 2026 US decision not to renew CUSMA leaves Canada's largest export market under annual review (Blakes, 2026). Furthermore, the Bank of Canada's interest rate hike in

October 2026 suggests that borrowing costs may stay higher for longer (Desjardins, 2026), and federal debt charges are projected to rise from 1.7% to 2.1% of GDP by 2030–31 (Department of Finance Canada, 2026). Thus, Canada is starting from a stronger position than most of the G7, yet its low net debt rests largely on pension assets that cannot absorb these new costs.

Did Canada Borrow to Invest?

Since a government that owes more than it owns has effectively paid for its assets with borrowed money, it is natural to wonder if Canada has borrowed money in order to invest. Statistics Canada's quarterly data make it possible to answer that question, as they show what each level of government did with every dollar of new debt. Between 1990 and mid-2026, the federal government took on C$1.49 trillion in new liabilities. About half of that amount covered deficits while the other half was matched by purchases of financial assets. The provinces show a similar pattern with 43% covering deficits and 56% funding asset purchases out of C$1.41 trillion (Statistics Canada, 2026; author's calculations). However, they mostly lent the money rather than investing it in financial markets. Indeed, their largest purchases consisted of loans, such as student loans as well as credit to Crown corporations, along with taxes owed to them but not yet collected. Over 36 years, the federal and provincial governments combined only bought about C$41 billion of stocks. Provincial stock holdings nonetheless grew from C$28 billion to C$429 billion, almost entirely thanks to the increase in value of already owned shares.

The CPP and QPP are the only part of Canada's public sector that truly invests borrowed money in financial markets, and even then partially. Of the C$712 billion of assets they both acquired, C$444 billion came from contribution surpluses, thus money collected beyond what was paid out in pensions. The remaining C$268 billion (about 38% of these purchases) was almost entirely borrowed since 2008. So far, their strategy has paid off as the value of their stock holdings has grown by C$614 billion beyond what they paid for it and more than twice what they borrowed (Statistics Canada, 2026; author's calculations).

Yet, borrowing to invest only works as long as markets cooperate. The worst quarters for government stock holdings illustrate the danger as in the first quarter of 2020, they lost C$61 billion, but regained C$49 billion the following quarter. In the first half of 2022, they lost C$61 billion as well and recovered most of it by the end of the year. During the 2008 financial crisis, they lost about C$59 billion over a year and only about half had been recovered by the end of 2009 (Statistics Canada, 2026; author's calculations). So far, Canada has been bruised but never exposed. Its portfolios, however, are now several times larger than in 2008, so a crash of the same size in percentage terms would cost far more today. As Warren Buffett put it, "you only find out who is swimming naked when the tide goes out."

My Verdict: What the Numbers Show and What They Miss

<u>Holding other countries' debt</u>

Canada doesn't only owe debt; it also holds other countries' debt. Indeed, its foreign reserves are invested mostly in foreign government bonds, with 71% of those in US dollars (Department of Finance Canada, 2025b). In addition, the CPP invests its assets around the world. This makes Canada's position safer: if the Canadian dollar falls, such as in a crisis,

these foreign assets gain in value in Canadian dollars and ease the impact. The flip side is that Canada's financial health is tied to that of other countries. Major economies have become too interconnected to let one another fail. This was illustrated on July 31, 2026, when the US Treasury sold euros to buy yen after a sharp fall in the Japanese currency, to keep Japan from selling large amounts of US Treasury bonds to defend it (Al Jazeera, 2026).

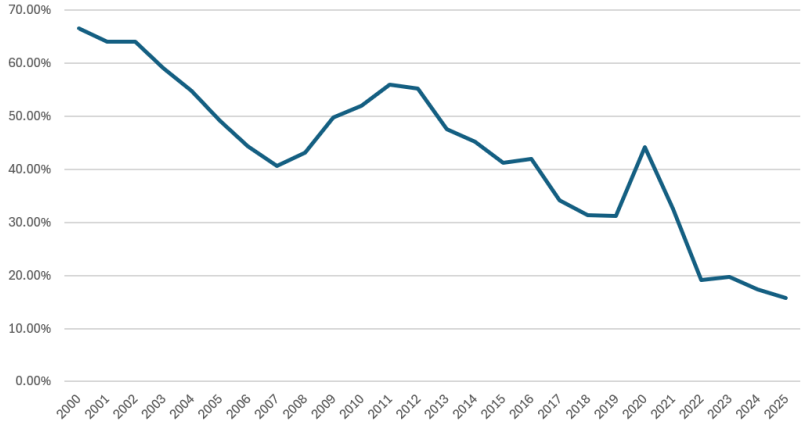
The interest burden: a long-term turnaround

In 1990, interest absorbed 22.1% of all government revenue; by 2021, it had dropped to 6.3% before rising back to 8% in 2025 (Statistics Canada, 2026; author's calculations). The federal government alone saw an even more drastic fall, going from 30.7% of its revenue in 1990 to 8.4% (World Bank, n.d.). The recent increase is real, but Canada remains far from the levels that forced its government to enact deep budget cuts in the 1990s.

The trend: better than it looks, but slipping

The long-run trend is clearly positive. The country's net debt peaked at 96.5% of GDP in 1996 and fell to 31.2% by 2019 (Statistics Canada, 2026; author's calculations). However, the pandemic has shaken things up. Since then, gross debt rose from 120% to 125.6% of GDP between 2019 and 2025 and interest costs climbed, yet the net debt kept falling to 15.7%, mostly thanks to rising pension assets.

Chart 4: Canada's general government net debt, 2000–2025 (% of GDP)



Source: Statistics Canada, Table 10-10-0015-01; GDP from IMF World Economic Outlook, October 2026; author's calculations

Between 2000 and 2025, Canada's net debt fell from 66.5% to 15.7% of GDP, an average decline of about 2.0 percentage points a year. If that pace continued and conditions remained relatively stable, the country's net debt would reach zero around 2033, meaning that Canada's governments would own more financial assets than they owe. At the slower pace since 2022, which is around 1.1 points a year, this would happen around 2039 (Statistics Canada, 2026; author's calculations). This is a simple extrapolation, not a forecast: the IMF expects net debt to stay close to 10% of GDP through 2031, and much of the recent decline came from rising asset values rather than saving.

The limits of the strategy

The main weakness of Canada's strategy is its dependence on the performance of financial markets. A global crash would shrink stock-heavy pension assets just as tax revenues fall and spending rises, thus sharply increasing net debt. Measuring the debt at market prices also makes the numbers swing for reasons that are unrelated to saving. In the first half of 2022, net debt fell by C$233 billion, simply because rising interest rates lowered the market value of the bonds governments owe (Statistics Canada, 2026). A low net debt measured at market prices can therefore partially be an illusion.

Should Canada go back to gold?

Over the years, gold has become more and more attractive, especially as central banks worldwide have been buying it at a historically fast pace since 2022 in order to protect against sanctions, inflation and political risk. However, the reasons that pushed Canada to sell its gold still apply as it pays no interest, its price swings sharply and it is harder to sell quickly than government bonds, which is what Canada's reserves exist for (Department of Finance Canada, 2016b). Thus, a balanced approach would be a small allocation, for example 5% of reserves, enough to diversify without weakening Canada's ability to defend its currency.

A new idea: provincial prosperity funds

A stronger way to build Canada's assets would be for all governments to save part of their natural resource revenue in dedicated prosperity funds as a cushion against crises and to finance future generations as well as to fight against climate change. A few provinces have started this on a small scale, such as Alberta with its Heritage Fund, Quebec with its Generations Fund, and Newfoundland and Labrador with the Future Fund it created in 2022 (Government of Alberta, 2026; Gouvernement du Québec, 2026; Government of Newfoundland and Labrador, 2022). The model could extend to every government that collects resource royalties: Saskatchewan on potash and uranium, British Columbia on natural gas, mining and timber, Manitoba on hydroelectricity and Yukon and the Northwest Territories on mining. In order to work, these funds would need Norway-style rules to limit withdrawals to the fund's expected return.

A simple health test for each level of government

To compare levels of government, I scored each on three criteria, going from 1 (weak) to 3 (strong).

1. The first criterion is who it owes: the more debt is held in Canada, the better the score.

2. The second is which currency it owes in: Canadian dollars score higher because debt in the national currency carries no exchange-rate risk.

3. The last is how quickly it can change course to regain lenders' trust. If lenders start to worry, a government that can quickly raise taxes, cut spending or rely on its own central bank can reassure them before an increase in borrowing costs.

	1. Who it owes	2. Currency	3. Change course	Score
Federal	**2** About 60-65% held in Canada	**3** About 98% in CAD, the rest matched by reserves	**3** Broadest tax base, own currency and central bank	**8/9**
Provincial	**2** 74% held in Canada	**2** Heavy foreign borrowing, though fully hedged	**2** Broad taxing powers, but no currency and reliant on federal transfers	**6/9**
Local	**3** 86% held in Canada	**3** Canadian dollars	**2** Must balance operating budgets, but rely mainly on property taxes	**8/9**
All governments	**2** 67% held in Canada	**3** Effectively all in CAD	**2** Mixed	**7/9**

Who it owes: 3 = over 80% held in Canada, 2 = 60–80%, 1 = under 60%. Sources: Lovely (2026); Department of Finance Canada (2025a); Ontario Ministry of Finance (2026); Ministère des Finances du Québec (2026); author's assessment.

The provinces are the weakest link: they rely heavily on foreign borrowing and cannot print money, so markets judge each one on its own finances. Local governments perform well, but they make up only 7% of the total government debt.

Conclusion

Does Canada have the lowest debt in the G7? Yes, but only when measured on a net basis, mostly due to assets held by the CPP and QPP. On a gross basis, at 113.6% of GDP, Canada sits in the middle of the G7, and it has seen the fastest growth in debt of any G7 country since 2019. The assets are real and make the country's public finances more resilient, but much of

them is invested in stocks and set aside for future pensions, so they could not repay the debt in a crisis. Canada's low net debt is therefore a genuine strength, as long as it is not mistaken for an absence of debt.

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